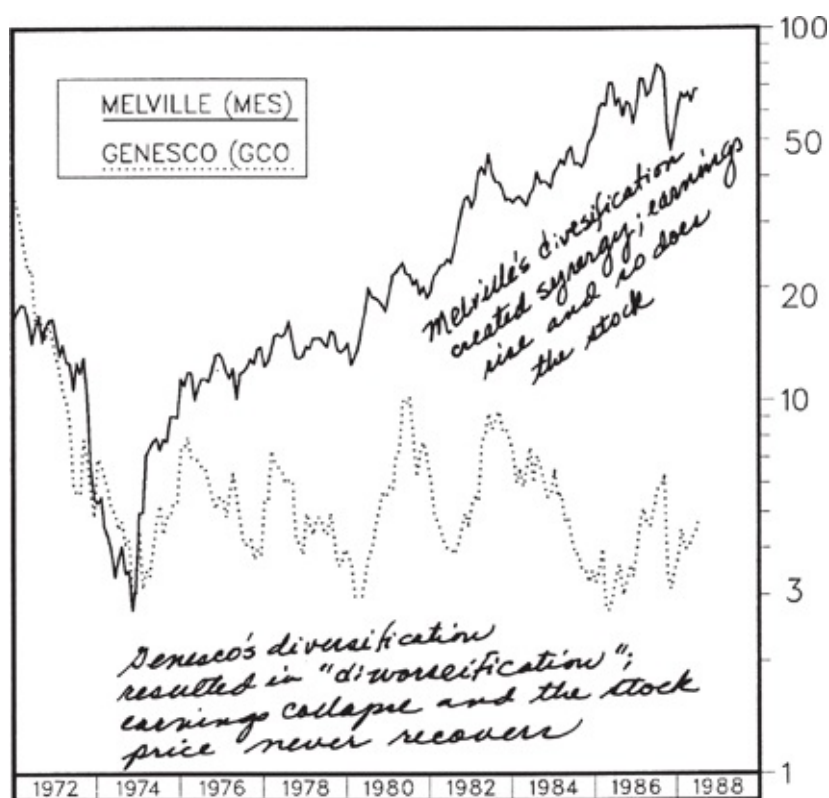




The difference in Melville's and Genesco's strategies ultimately showed up in the earnings and stock performances of the two companies. Both stocks suffered during the 1973–74 bear market. But Melville's earnings were growing steadily and its stock rebounded; it had become a thirtybagger by 1987. As for Genesco, its financial position continued to deteriorate after 1974, and the stock has never come back.

Why did Melville succeed while Genesco failed? The answer has a lot to do with a concept called synergy. "Synergy" is a fancy name for the two-plus-two-equals-five theory of putting together related businesses and making the whole thing work.

The synergy theory suggests, for example, that since Marriott already operates hotels and restaurants, it made sense for them to acquire the Big Boy restaurant chain, and also to acquire the subsidiary that provides meal service to prisons and colleges. (College students will tell you there's a lot of synergy between prison food and college food.) But what would Marriott know about auto parts or video games?

In practice, sometimes acquisitions produce synergy, and sometimes they don't. Gillette, the leading manufacturer of razor blades, got some synergy when it acquired the Foamy shaving cream line. However, that didn't extend to